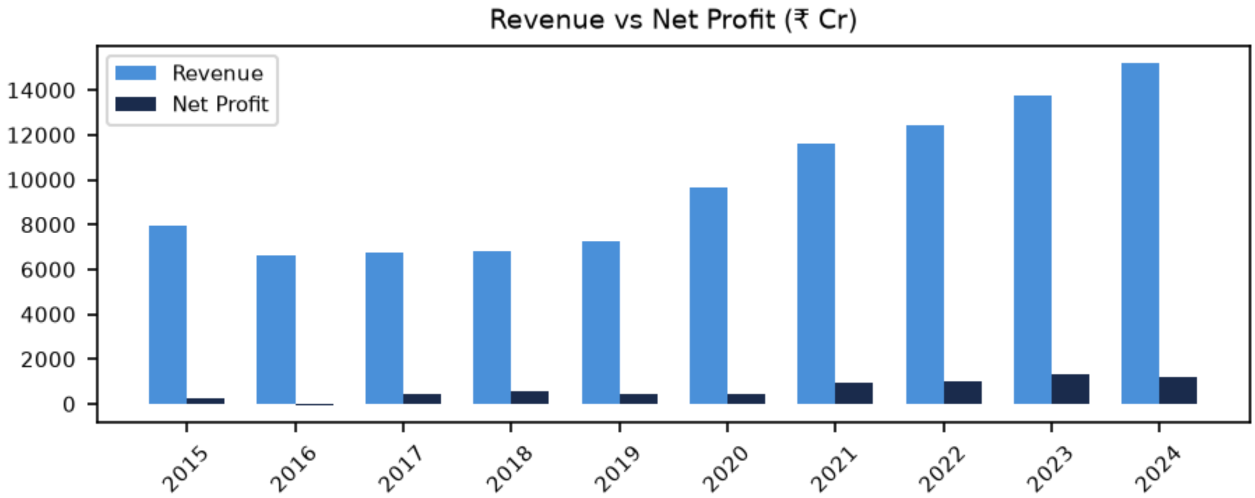
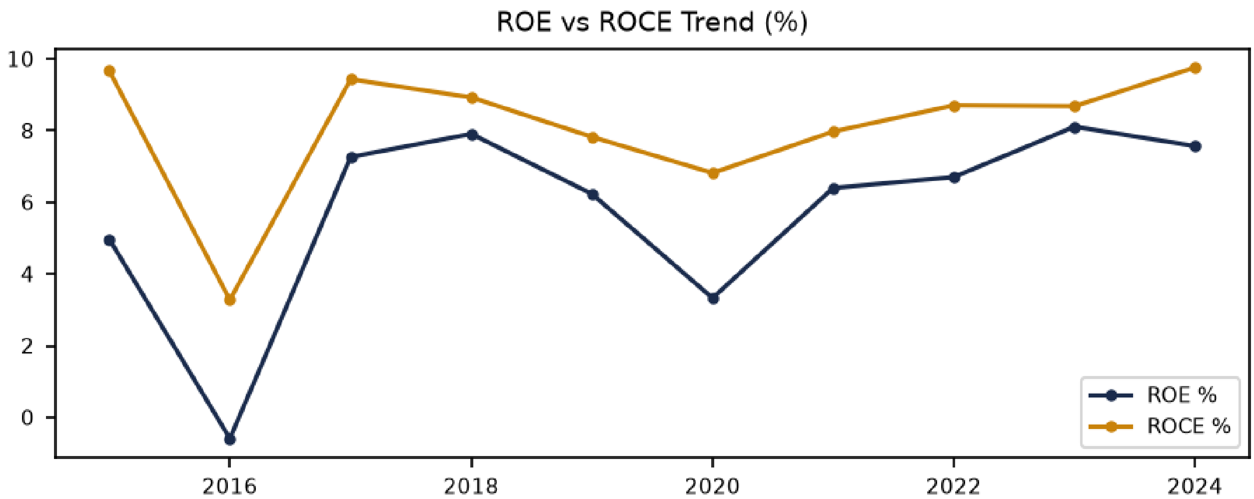
Tata Consumer Products Ltd

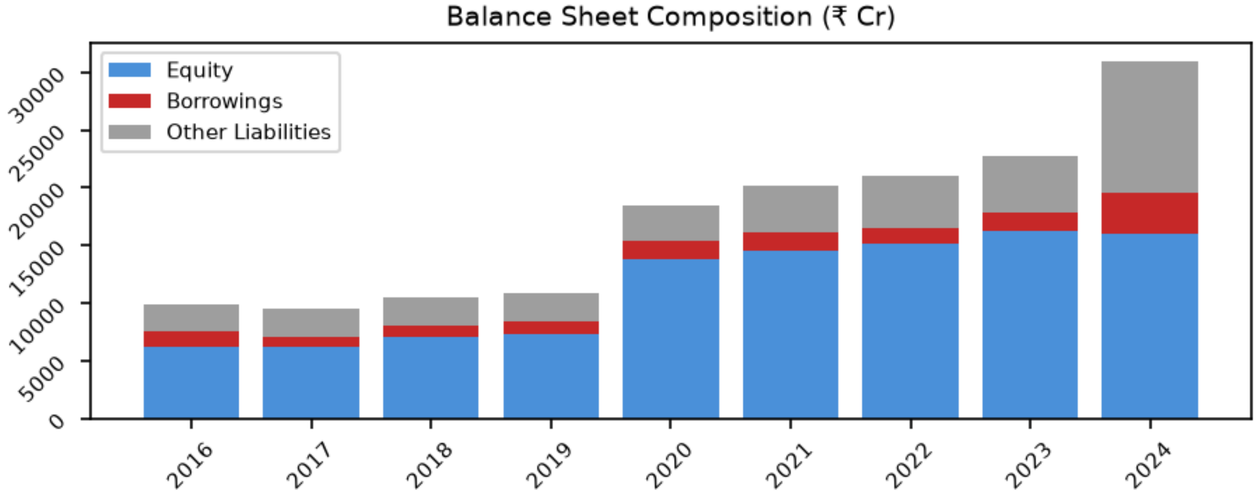
TATACONSUM · Consumer Staples

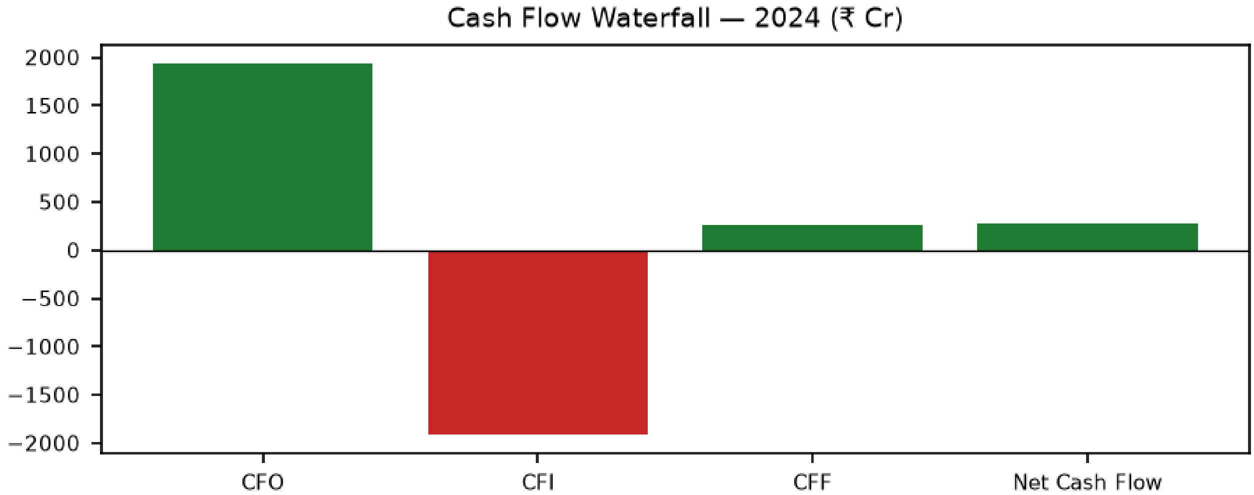
ROE	ROCE	Net Profit Margin
7.6%	9.8%	8.0%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.22	16.0%	■26 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
✓ Growing asset base funded by internal accruals reflects self-sustaining growth	
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value	
✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	

Capital Allocation: Growth Financing